FREE WORKSHEET

Size every trade before you take it.

Most blown accounts are not caused by one bad idea. They come from position sizes that were never decided in advance. This worksheet turns sizing into three lines of arithmetic you do before every trade.

THE FORMULA

Max risk (₹) = Capital × Risk %
Risk per unit (₹) = Entry − Stop
Quantity = Max risk ÷ Risk per unit (round down)

Worked example

Capital	₹2,00,000
Risk per trade	1%
Max risk	₹2,000
Entry / Stop	₹500 / ₹480
Risk per share	₹20
Quantity	₹2,000 ÷ ₹20 = 100 shares
Position value	100 × ₹500 = ₹50,000 (25% of capital)
Target at 2R	₹500 + 2 × ₹20 = ₹540

Notice what the stop does: the stop distance decides the quantity, not the other way round. A wider stop means fewer shares for the same ₹ risk. If you hit the stop, you lose about ₹2,000 plus costs and any slippage, whatever the share price.

For F&O, replace "shares" with lots: Quantity in lots = Max risk ÷ (Risk per unit × Lot size), rounded down. If the answer is below 1 lot, the trade is too big for your rules.

Your pre-trade sizing sheet

Print this page. Fill one row before each trade. If you cannot fill the Stop column, you are not ready to trade.

Date	Instrument	Capital ₹	Risk %	Max risk ₹	Entry	Stop	Risk/unit	Qty	Target	Result R

Result R = profit or loss ÷ max risk. A full stop-out is -1R; hitting a 2R target is +2R. Tracking results in R lets you compare trades of different sizes fairly.

Why the % matters: losing streaks

Every system has losing streaks. This table shows how far the account falls after N losses in a row, each sized at the same % of the current balance, and the gain needed just to get back to the start.

Losses in a row	Risk 1% per trade	Risk 2% per trade	Risk 5% per trade
5	**-4.9%** needs +5.2% to recover	**-9.6%** needs +10.6% to recover	**-22.6%** needs +29.2% to recover
10	**-9.6%** needs +10.6% to recover	**-18.3%** needs +22.4% to recover	**-40.1%** needs +67.0% to recover
20	**-18.2%** needs +22.3% to recover	**-33.2%** needs +49.8% to recover	**-64.2%** needs +179.0% to recover

At 1% per trade, 10 losses in a row costs about 9.6%. At 5%, the same streak costs about 40.1% and needs +67% to recover. Small risk per trade is what keeps you in the game long enough to learn.

Pre-trade checklist

- [ ] I know my exact stop before I enter.
- [ ] Quantity comes from the formula, rounded down.
- [ ] Max risk is within my % rule (and my daily loss limit).
- [ ] I have included costs: brokerage, STT, slippage.
- [ ] I have written the plan: entry, stop, target, reason.
- [ ] If this trade hits the stop, I am fine emotionally and financially.

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